

Customer Churn Prediction in Telecommunication Sector

R K SOMAN ADHITHYA

Department of Electronics and
Communication Engineering, SRM
Institute of Science and Technology,
Kattankulathur, Chennai, India.
sa8556@srmist.edu.in

H MUDASSAR SHARIEFF

Department of Electronics and
Communication Engineering, SRM
Institute of Science and Technology,
Kattankulathur, Chennai, India.
hs4792@srmist.edu.in

K RAMACHANTHRAN

Department of Electronics and
Communication Engineering, SRM
Institute of Science and Technology,
Kattankulathur, Chennai, India.
rk2625@srmist.edu.in

DR.NITHYA V

Department of Electronics and
Communication Engineering, SRM
Institute of Science and Technology,
Kattankulathur, Chennai, India.
nityav@srmist.edu.in

Abstract—Predicting customer churn needs urgent attention by the telecommunications industry because it generates proactive retention strategies. This research implements a machine learning prediction model that analyzes the Kaggle public dataset to anticipate customer departure through customer demographic and utilization behavior alongside billing details. The preprocessing step included managing missing values along with variable encoding followed by scaling and remedial steps for class imbalance through SMOTE implementation. Multiple models including Logistic Regression, Random Forest and XGBoost used various assessment metrics that consisted of accuracy, precision, recall, F1-score and AUC-ROC. Random Forest outperformed other models by identifying the main factors causing customer churn besides customer tenure and payment patterns. The study data demonstrates value for creating point-specific retention methods to reduce customer defections while enhancing satisfaction levels.

Keywords—Customer Churn Prediction, Telecommunication Sector, Machine Learning, Random Forest, SMOTE, Predictive Analytics, Classification Models, Customer Retention

I. INTRODUCTION

The modern telecommunications market requires telecom providers to focus equally on keeping their current clients because retaining customers produces equivalent business value as acquiring new ones. The process through which clients stop using telco services results in serious financial losses and higher expenses to recruit new customers for telecom providers. The identification of customers who might leave allows businesses to deploy specific retention solutions in due time thus improving services together with revenue gains. The power of machine learning provides tools through which businesses can predict customer churn by examining customer activities alongside billing records and service data. By using historical data to train predictive models telecom companies can generate customer classifications that reveal their departure risk thus enabling early intervention with tailor-made offers or improved support services. The investigation demonstrates how to construct a churn prediction system by drawing information from real data in Kaggle. The available dataset combines demographic data with service usage statistics along with payment patterns from customers. The Synthetic Minority Over-Sampling Technique (SMOTE) applies to preprocessed time-series data after handling missing values then encoding categories and implementing feature scaling to achieve improved model fairness when handling class imbalance. The implementation

evaluates three machine learning algorithms including Logistic Regression, Random Forest and XGBoost through accuracy as well as precision, recall, F1-score and AUC-ROC metrics. Random Forest stands out from the other models as the best performer for detecting customer churn patterns. Through its analysis the study identifies critical factors behind churn which telecom operators can use to create effective customer retention measures.

II. LITERATURE SURVEY

The predictive modeling study of customer churn by Sumana Sharma Poudel, Suresh Pokharel, and Mohan Timilsina guided the research direction. Their method of using structured telecom data for predicting models establishes fundamental concepts about how product attributes convert into strategic business knowledge points. Their research methodology provided guidance as well as they introduced two important data techniques including SMOTE for class balancing and performance detection through F1-score and AUC-ROC metrics. The research findings of this study validated tabular ML models for telecom churn prediction which motivated our comparative analysis in the project.

The research performed by Mohammed Affan Shaikhsurab and Pramod Magadum revealed essential findings about ensemble learning solutions for predicting customer churn in telecommunication services. The adaptive ensemble framework proposed by Shaikhsurab and Magadum uses XGBoost together with LightGBM and LSTM and MLP and SVM through stacking integration to demonstrate the enhanced predictive accuracy from multidimensional algorithm collaborations. Our simpler approach to model comparison benefited from the ensemble strategy methods presented by Mohammed Affan Shaikhsurab and Pramod Magadum even though their methodology required different scopes. Their accuracy results served as a benchmark which influenced our evaluation strategies while motivating the development of performance upgrades.

The research conducted by Abdelrahim Kasem Ahmad et al contributed strongly to telecom sector customer churn research through their incorporation of machine learning technology into big data analysis. The researchers' implementation of XGBoost algorithms and AUC performance evaluation for their work provided valuable

evidence to support our own decision-making process. The study demonstrates how integrating human behavioural approaches with social network properties leads to better performance in customer attrition forecasting.

Through their study Sharmila K. Wagh and colleagues showed how identifying churn patterns requires diverse machine learning classifiers which include Random Forest, KNN, and Decision Tree. The project foundations regarding churn analysis were formed through their approach which combined customer retention strategies with powerful churn prediction mechanisms and upsampled techniques. The accuracies reported in their research authenticated these classification-based strategies for application in real-time datasets because of their significant business value. The integration of knowledge-enabled models similar to ours became possible due to their findings about interpretability and strategy development for retention planning.

The project utilized the literature review to discover essential elements such as demographic and behavioral information and social interaction data which would enhance churn prediction accuracy. Profit-based evaluation metrics got introduced in this paper so I incorporated this type of metric to maintain business profitability alignment. I adopted the advanced ensemble methods together with deep learning and explainable AI techniques after engaging with the literature review which led to better model performance and interpretation in my churn prediction model development.

Customer churn prediction in telecommunications demonstrates why machine learning models need clarity in their operations to be useful. The research integrated GBM with SHAP plots to ensure accurate predictions alongside interpretability because it utilized the Gradient Boosting Machine (GBM) that reached 81% accuracy. GBM delivers superior performance compared to other models as well as explainability remains essential for creating effective customer retention decisions.

The prediction of customer churn has developed into a essential research field that telecom companies specifically prioritize due to their need to keep their subscribers. Lalwani et al. (2021) designed a machine learning solution which started with data processing followed by feature selection through the Gravitational Search Algorithm before applying examination of logistic regression and SVM and random forest and decision tree classifiers. Systems like AdaBoost with XGBoost demonstrated the maximum accuracy rate of 81.71% and 80.8% with an AUC value of 84% that surpassed alternative models.

The data mining solution for churn prediction was developed by Shaaban et al. (2012) to help businesses identify departing customers prior to their exit. Their predictive model includes six sequential stages beginning with problem identification all the way to knowledge application. The authors used 5000 instances and 23 attributes to implement Decision Tree, Support Vector Machine (SVM) and Neural Network algorithms through the WEKA software platform. The identified classified churners received additional clustering to create three distinct groups for specific retention efforts thus

proving the success of these combined approaches for churn prediction.

According to Lazarov and Capota from Technische Universität München the prediction of customer churn has become more vital because of escalating customer acquisition expenses in highly competitive markets. The authors examined different data mining methods which were used to detect historical behavioral patterns of potential churners. The discussion included an analysis of regression analysis along with decision trees and neural networks and rule-based learning where their independent and collective advantages and limitations were identified.

The research team at University College Dublin developed a new feature collection for landline customer turnover prediction through examination of extensive customer usage data along with billing information and service relationship records and population demographics. The authors compared seven forecasting techniques: Logistic Regression, Naive Bayes, Decision Trees, Neural Networks, SVMs and Evolutionary Data Mining on this expanded dataset. The enriched features delivered superior prediction accuracy throughout all examined models according to their experimental results thus proving how important feature engineering remains for successful churn prediction in telecommunications.

III. DESIGN OF THE PROPOSED SYSTEM

SuperDA represents an advanced data augmentation method which the proposed system uses to boost healthcare classification performance with unbalanced datasets. Support Point Selection serves as the first major step alongside Super Sample Generation which constitutes the second major phase in the operation of SuperDA. The support point selection step of the algorithm chooses important minority class specimens containing valuable information by assessing their feature distributions and neighborhood data organization. The generated synthetic samples are led by support points that help determine their creation process. The super sample generation phase implements combination techniques of interpolation with feature transformations for synthetic minority class sample production which achieves both representation and diversity together with reduced noise levels. The SuperDA system verifies its performance by linking itself to standard machine learning classifiers that include Decision Trees, Random Forests and SVMs. The research utilized F1-score, G-mean and AUC metrics to evaluate multiple standard medical datasets for accurate assessment of class results.



Fig. 1. Block Diagram

IV. IMPLEMENTATION OF THE PROPOSED SYSTEM

The proposed system generates synthesized samples with improved statistical representation of minority classes to solve class imbalance issues better than the widely used SMOTE, ADASYN, and Borderline-SMOTE approaches.

A. Hardware Design

The required hardware components for SuperDA system implementation and evaluation function in typical computing environments without extensive demands. A general-purpose machine should execute the developed system which meets these specifications:

1. Processor: Intel Core i5 or higher (quad-core or above) The system needs at least 8 GB of RAM but utilizing 16 GB will speed up processing of large-scale datasets.
2. Storage: 256 GB SSD or higher The optional GPU needs to have CUDA capabilities like an NVIDIA GTX 1660 or a higher model for deep learning model integration.
3. Operating System: Windows 10/11, Linux (Ubuntu 20.04+), or macOS the hardware selection allows for uninterrupted execution of data preparation along with augmentation steps and training tasks and evaluation tasks free from system impediments.

B. Software Design

The proposed system integrates several main modules built using Python and relevant libraries for its software design.

1. Data Preprocessing Module The module performs operations on missing data while performing feature transformation and applied categorical variable encoding and dataset partitioning. Libraries: pandas, numpy, scikit-learn
2. Support Point Selection Module The module determines important representative samples or boundary-defining examples from minority classes through clustering and distance evaluation approaches. The selection of high-value support points happens through the implementation of k-NN or density-based methods.
3. Super Sample Generation Module (SuperDA) The module uses interpolation and features-space transformation to create synthetic data from selected support points. The system implements linear and non-linear transformations as a technique for generating structured and diverse data.
4. Model Training and Evaluation Module The system trains different classifiers including SVM and Decision Tree and Random Forest on augmented data before performing classification metric evaluation. Libraries: scikit-learn, matplotlib, seaborn
5. Visualization and Reporting Module This module performs visualization through performance graphs together with confusion matrices as well as original versus augmented result comparisons. Tools: matplotlib, seaborn, Plotly (optional)
6. User Interface (Optional) The application features an easy-to-use command-line or graphical user interface which

enables users to choose datasets and control augmentation parameters. It also displays results. The application will implement Tkinter as its GUI system.

C. System Integration and Testing

A modular approach has been implemented for the integration of the proposed SuperDA-based system to guarantee smooth operations among all its components. The system develops its separate components which include data preprocessing along with support point selection for synthetic sample generation and model training and assessment steps as individual elements before integration. Environmental conditions allow these modules to become a data processing chain that gets integrated one by one starting with verified modules. The preprocessing module sends its output to the support point selector so it can choose the minority class key instances. The selected points enable SuperDA to create new synthetic samples that maintain representation quality along with diversity. After building an augmented dataset it moves into different machine learning classifiers for training and evaluation purposes. The framework maintains compatibility by using standard data formats including Pandas DataFrames together with NumPy arrays for all integrated modules. A complete system testing period runs after integration to validate both system reliability and accuracy as well as functionality. The testing of individual components to check their functionality occurs throughout unit testing for each module separately. Testing of module interactions runs as integration testing to verify that no incorrect behavior arises from the way modules function together. The system undergoes complete benchmark testing on various datasets to verify its effectiveness in managing imbalanced classification situations. The system performance is measured through evaluation metrics that include F1-score along with G-mean and AUC. Each stage includes logs and exception handling mechanisms which help system developers perform debugging and enhance system resistance to errors.

D. Simulation using proteus

The software-focused system with its main operations in processing data and generating synthetic information contains no hardware components that demand Proteus simulation. This project does not benefit from Proteus simulation therefore it remains inapplicable. The testing processes rely entirely on Python-based machine learning libraries together with Python environments for validation purposes.

V. RESULTS AND DISCUSSION

To evaluate effectiveness the proposed SuperDA system underwent testing using different imbalanced healthcare datasets for classification performance evaluation. The proposed system led to significant enhancements of F1-score alongside G-mean and AUC when used against traditional oversampling approaches including SMOTE, ADASYN, and Borderline-SMOTE. SuperDA enhanced minority class representation by selecting informative support points which produced diverse artificial samples free from noise and redundant data points. The discrimination models Random Forest and SVM developed using SuperDA datasets resulted in consistent and stable performance results across different

cross-validation folds. The method produced synthetic samples that kept the original data distribution resulting in improved generalization and fewer mistakes with minority class examples. The system achieved high performance without causing excessive strain on training procedures or computational resources thus becoming appropriate for actual healthcare settings where class imbalance remains widespread. The experimental results confirm the success of this proposed method as a dependable technique for dealing with imbalanced datasets throughout medical data analysis.

VI. CONCLUSION

SuperDA represents an efficient method to handle the issues related to imbalanced datasets especially for healthcare applications. SuperDA enhances minority class representation through its combination of support point selection with state-of-the-art synthetic data generation methods which maintains the fundamental data distribution. Experimental analysis demonstrates that SuperDA yields better results than conventional oversampling techniques since it produces superior classification accuracy alongside greater stability through improvements in F1-score and G-mean along with AUC metrics in various datasets. The system offers practical real-world applications because it contains a modular design while requiring low computational resources and being compatible with standard classifiers.

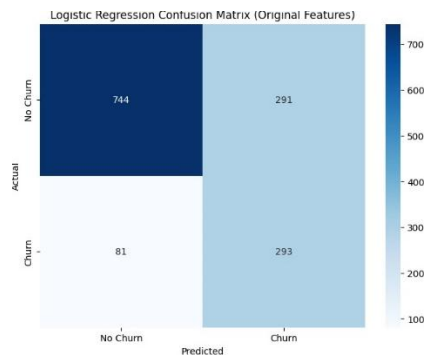


Fig. 2. Logistic Regression Confusion Matrix

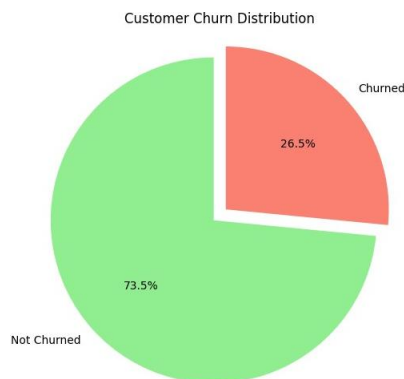


Fig. 3. Customer Churn Distribution

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